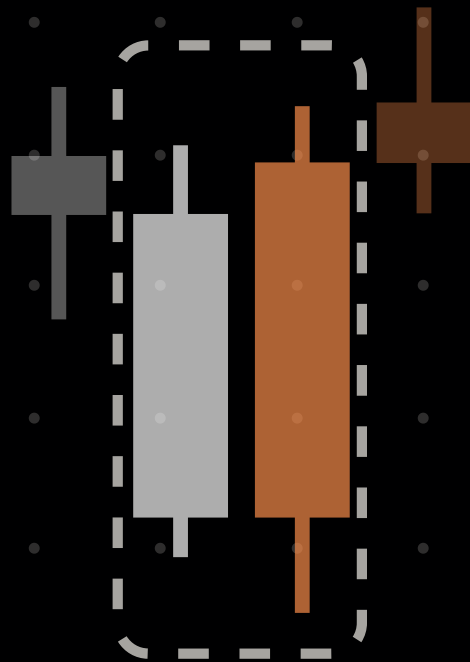


TP

LEVEL I

FOUNDATIONS

THE FUNDAMENTALS



Hello!

Welcome to
Level I: Foundations

We truly appreciate your support and the trust you placed in our work. This guide was created to provide clear and valuable insights in a simple and easy-to-understand way.

Our goal is to make complex ideas simple and easy to understand.

We hope you enjoy reading it and find the information helpful along the way.

Thank you again for being here.

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MODULE 01

FOUNDATIONS OF TRADING

QUICK FACTS

"The goal of a successful trader is to make the best trades. Money is secondary."

Alexander Elder



- Financial markets connect **buyers** and **sellers** from all over the world.
- The foreign exchange market is the **largest** market in the world. **Trillions** of dollars are traded every day.
- Today, **individuals** can trade in markets that were once only open to large institutions.
- Prices in the market move because of **supply, demand**, and how people **act**.
- Successful traders focus on **probability** and **managing risk**, not on predicting every move.

CHAPTER OVERVIEW

1

FINANCIAL MARKETS

2

PRICE MOVEMENT

3

**TRADING
FOUNDATIONS**

WHAT TRADING ACTUALLY IS

Trading is the act of **buying** and **selling** financial assets to **profit** from *price changes*.

For Example:

BUY → **PRICE MOVES** → **SELL** → **PROFIT**

These assets can include stocks, currencies, commodities, and cryptocurrencies.



TRADING PRECISION

1. HOW FINANCIAL MARKETS WORK

Financial markets are places where people buy and sell assets. These assets include stocks, currencies, commodities, and cryptocurrencies.

Traders use **trading platforms** to access these markets. The platforms connect buyers and sellers from around the world.

When a buyer and a seller **agree** on a **price**, a **trade happens**. Many people trade at the same time, so markets stay active and prices change *constantly*.



TRADING PRECISION



TYPES OF MARKETS

(CRYPTO, FOREX, STOCKS)

Financial markets exist in many forms. Most traders focus on a few main ones:

- cryptocurrencies,
- foreign exchange (Forex),
- stocks.

The **cryptocurrency market** is *newer* than traditional markets.

It operates **24 hours a day** and often moves *quickly*.

This can create many trading **opportunities**, but it also increases *risk*.



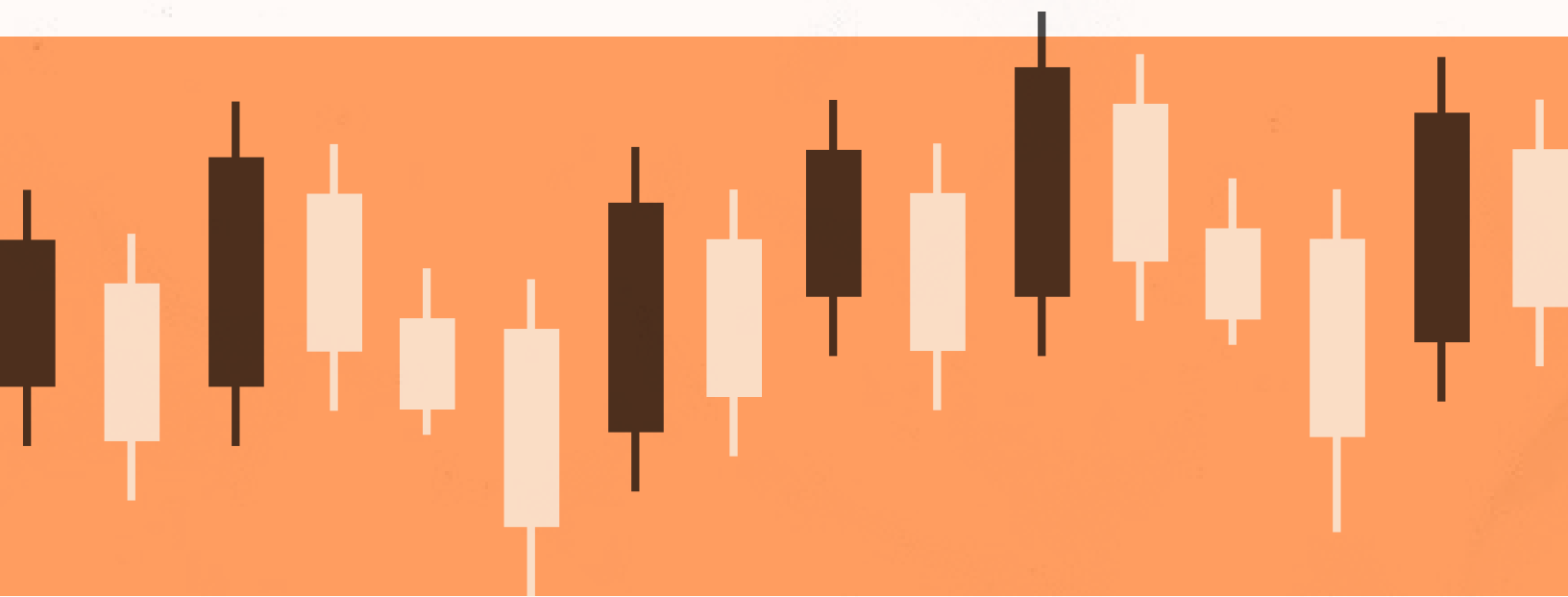
The **Forex market**, is the *largest* financial market in the world.

It involves trading currencies such as the **euro**, **US dollar**, and **Japanese yen**.

Because many participants trade in this market, **liquidity** is very **high**.



The **stock market** allows people to buy and sell shares of public companies. These markets operate through **regulated exchanges**. They also follow specific trading hours.



Although these markets are different, they follow the **same basic principles**.

Prices move because of **supply** and **demand**. Patterns such as trends, pullbacks, support, and resistance appear in all markets.

Because of these similarities, many traders learn one method of analysis. They then **apply** it across **different markets**.

2. PRICE MOVEMENT

Prices move because of buyers and sellers. When more people want to *buy* an asset, **demand increases** and the **price** usually **ris**es. When more people want to *sell*, **supply increases** and the **price** usually **fall**s.

Liquidity also affects how prices move. It means an asset can be bought or sold quickly *without changing* the price too much. Markets with high liquidity have many buyers and sellers, so trades happen **easily**.

Traders look for situations where the chance of a good move is **higher**. Because no trade is *certain*, they focus on **probability** and **risk**.

3. TRADING FOUNDATIONS

Before learning trading strategies, it is **important** to understand a few **basic** ideas.

1. Trading is based on **probability**. No trade is *guaranteed* to succeed. Traders look for situations where the **chance** of a good move is **higher**.
2. **Risk management** is essential. Traders protect their capital by *limiting* how much they can **lose** on a single trade.
3. Finally, **discipline** is important. Successful traders follow their plan and avoid making *emotional decisions*.

These foundations help traders make **better decisions** in the market.

KEY TAKEAWAYS

- ✓ Financial markets connect buyers and sellers of assets.
- ✓ Prices move because of supply and demand.
- ✓ Liquidity makes it easier to buy and sell assets quickly.
- ✓ The most common trading markets are crypto, forex, and stocks.
- ✓ Although these markets are different, they follow the same basic principles.

REFLECTION

Test your understanding of this chapter.

-  What causes prices to move in financial markets?
-  What does liquidity mean in trading?
-  Which three markets are most commonly traded by traders?
-  Why do similar price patterns appear in different markets?
-  How do buyers and sellers influence market prices?

Thinking about these questions can help you better **understand** how financial markets work.

MODULE 02

THE REALITY OF TRADING

QUICK FACTS

"Amateurs think about how much money they can make. Professionals think about how much money they can lose."

Jack Schwager



- Many *new* traders lose money during their **first years** of trading.
- Most failures happen because of *poor* **risk management** and *lack of discipline*.
- Financial markets are very **competitive**. Traders **compete** with *professionals* and *large institutions*.
- Successful traders focus on **long-term consistency**, not **quick profits**.
- Learning to trade well often takes **years** of **practice** and **experience**.

CHAPTER OVERVIEW

1

**REALISTIC
EXPECTATIONS**

2

**DISCIPLINE AND
RISK CONTROL**

3

**LONG-TERM
MINDSET**

1. REALISTIC EXPECTATIONS

Financial markets involve **millions** of participants. These include individual traders, institutions, hedge funds, and automated systems.

Because of this **competition**, making *consistent* profits **takes time**. Traders must learn how markets *behave* and how to **manage risk**.

Many *beginners* try to grow their accounts **too quickly**. They often take **large risks**, hoping for *fast gains*.

However, this usually leads to *losses*. Successful traders focus on **protecting** their capital and following their **strategy** *consistently*.

Over time, **disciplined** *decisions* and *proper* **risk control** can lead to better long-term results.

THE TRADER JOURNEY



Most traders go through **several stages**. Early excitement is often followed by losses, which lead to learning and discipline. Over time, this can lead to **consistency**.

TRADING PRECISION

2. DISCIPLINE & RISK CONTROL

Discipline is one of the most **important** *skills* in trading. Even a good strategy will not work if a trader does not follow it *consistently*.

Financial markets move constantly, but not every movement is a *good* **trading opportunity**. Without discipline, traders may enter trades *too often* or take *unnecessary* **risks**.

Risk control is equally important. Every trade involves *uncertainty*, and losses are a normal part of trading. Because of this, traders must **control** how much they **risk** on each trade.

Disciplined traders follow clear *rules* for entries, exits, and risk limits. By **protecting** their capital and following their **plan**, they improve their *chances* of long-term success.

DISCIPLINED

- ✓ Follows a trading plan
- ✓ Uses stop-loss orders
- ✓ Manages risk per trade



PROTECTS CAPITAL

EMOTIONAL

- ✗ Trades impulsively
- ✗ Holds losing trades too long
- ✗ Risks too much capital



LOSES CAPITAL

VS

TRADER

TRADING PRECISION

3. LONG-TERM MINDSET

Many beginners focus on **individual** trades. When a trade *wins*, they feel **successful**. When a trade *loses*, they feel **frustrated**.

Experienced traders **think differently**. They do not *judge* success based on **one** trade. Instead, they look at the **results** of *many* trades over time.

Even **strong** strategies can have **losing** trades. This is a *normal* part of trading.

Traders with a long-term mindset focus on **consistency**. By following their strategy and managing risk, they **improve** their results over time.

HOW TRADERS THINK

SINGLE TRADE THINKING



Single trade



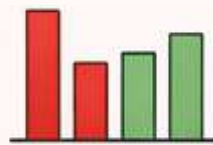
IMPULSIVE DECISION



Emotion



LONG-TERM THINKING



Series of trades



CONSISTENT EXECUTION



Statistics



TRADING PRECISION

KEY TAKEAWAYS

- ✓ Trading is not a quick way to make money.
- ✓ Developing trading skills takes time and practice.
- ✓ Discipline helps traders follow their strategy.
- ✓ Risk control protects trading capital.
- ✓ Successful traders focus on long-term consistency.

REFLECTION

Test your understanding of this chapter.

- ❓ Why is trading often misunderstood as a quick way to make money?
- ❓ What stages do many traders experience while learning?
- ❓ Why is discipline important in trading?
- ❓ How does risk control protect a trading account?
- ❓ Why should traders focus on long-term performance instead of individual trades?

Thinking about these questions can help you better **understand** the reality of trading.

MODULE 03

UNDERSTANDING MARKET STRUCTURE

QUICK FACTS

"Price action is the footprint of money."

Unknown trading saying



- **Market structure** describes how price moves through **highs** and **lows**.
- **Trends** form when price creates higher highs or lower lows.
- **Consolidation** happens when buyers and sellers are *balanced*.
- Market structure *helps* traders understand **market direction**.
- Many trading **strategies** are based on **structure**.

CHAPTER OVERVIEW

1 | **WHAT MARKET
STRUCTURE MEANS**

2 | **HIGHER HIGHS AND
HIGHER LOWS**

3 | **LOWER HIGHS AND
LOWER LOWS**

4 | **TRENDS VS
CONSOLIDATION**

5 | **BREAK OF STRUCTURE
(BOS)**

1. WHAT MARKET STRUCTURE MEANS

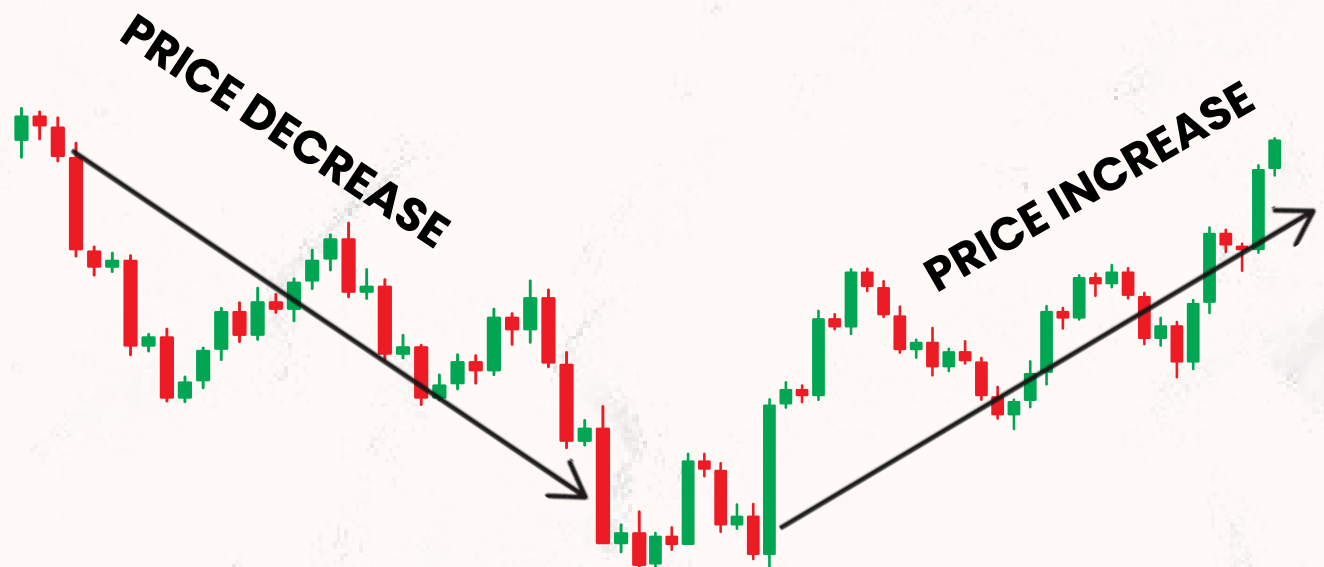
Market structure describes how *price* forms **highs** and **lows** on a chart.

These highs and lows show the interaction between **buyers** and **sellers**. By observing them, traders can understand whether the market is **trending** or moving **sideways**.

Market structure is important because it focuses directly on **price movement**. Every chart shows some form of structure created by *supply* and *demand*.

Instead of *predicting* the future, traders use **structure** to understand what the market is currently doing.

BASIC MARKET STRUCTURE



Simple **visual** structure showing the movement of price between highs and lows.

TRADING PRECISION

2. HIGHER HIGHS AND HIGHER LOWS

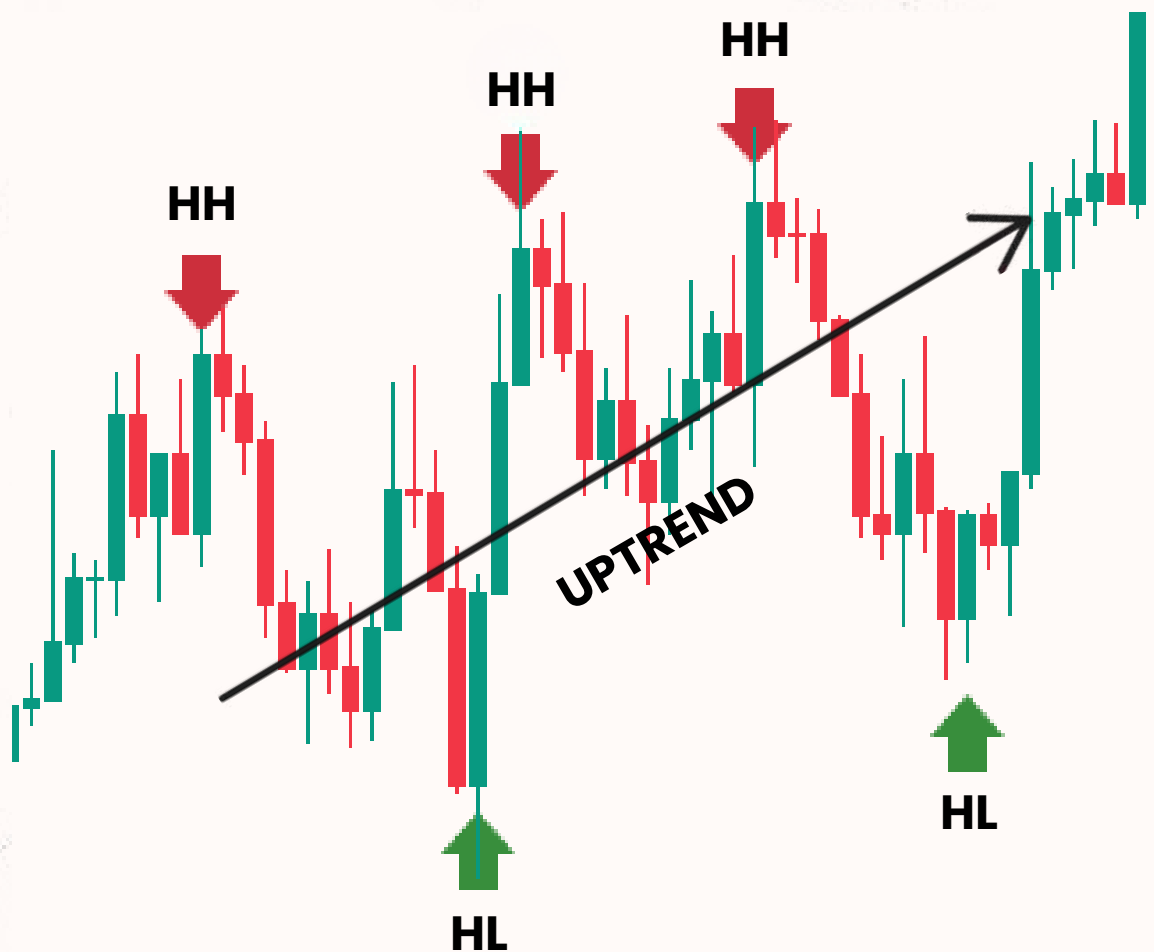
An **uptrend** forms when the market creates **higher highs** and **higher lows**.

Each **upward** move reaches a higher price than before. When price *pulls* back, it stops above the previous low.

This **pattern** shows that *buyers* are **stronger** than *sellers*.

Many traders prefer to trade in the direction of the **trend**. They often look for *buying* opportunities during **pullbacks**.

UPTREND (HH / HL)



TRADING PRECISION

3. LOWER HIGHS AND LOWER LOWS

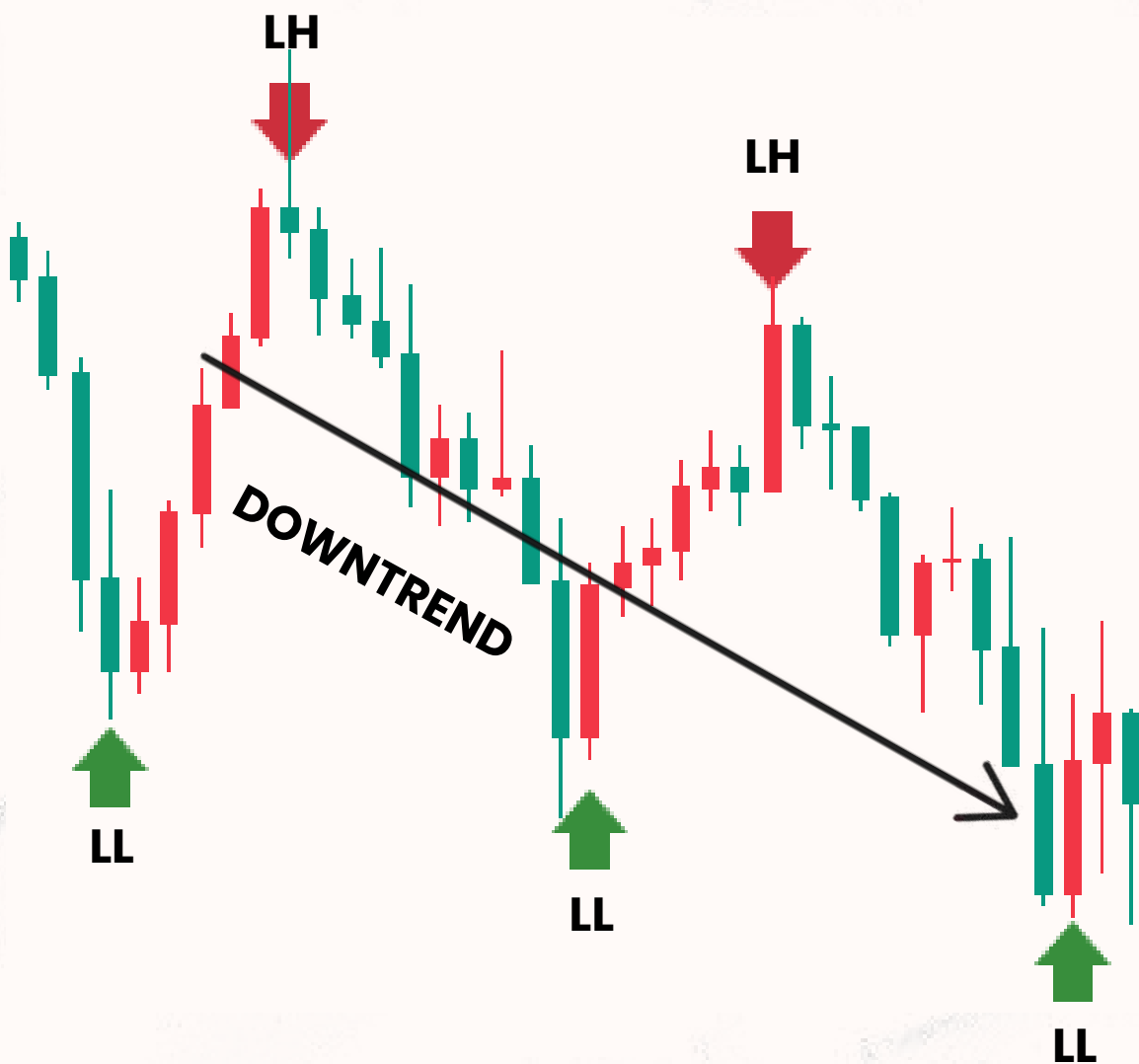
A **downtrend** forms when the market creates **lower highs** and **lower lows**.

Each **downward** move pushes price below the previous low. When price moves upward, it fails to reach the previous high.

This pattern shows that *sellers* are **stronger** than *buyers*.

Traders often look for **selling opportunities** during *pullbacks* in a downtrend.

DOWNTREND (LH / LL)



TRADING PRECISION

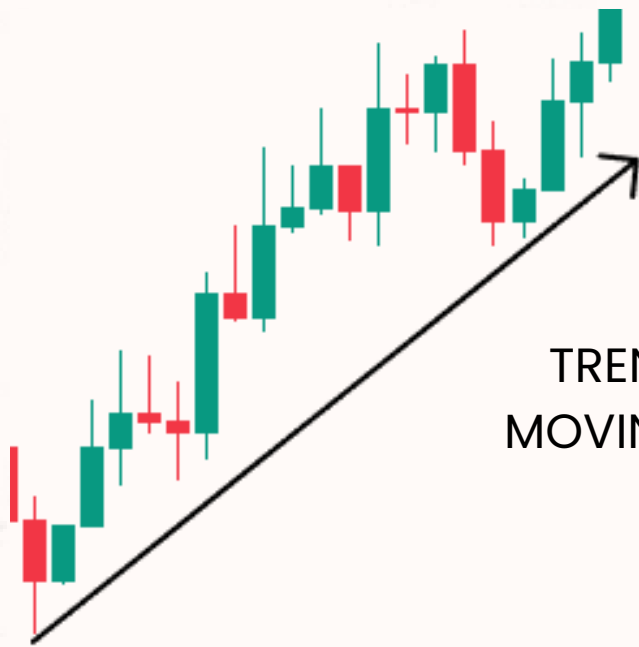
4. TRENDS VS CONSOLIDATION

Markets do not move in one direction *forever*. They alternate between **trending** phases and **consolidation** phases.

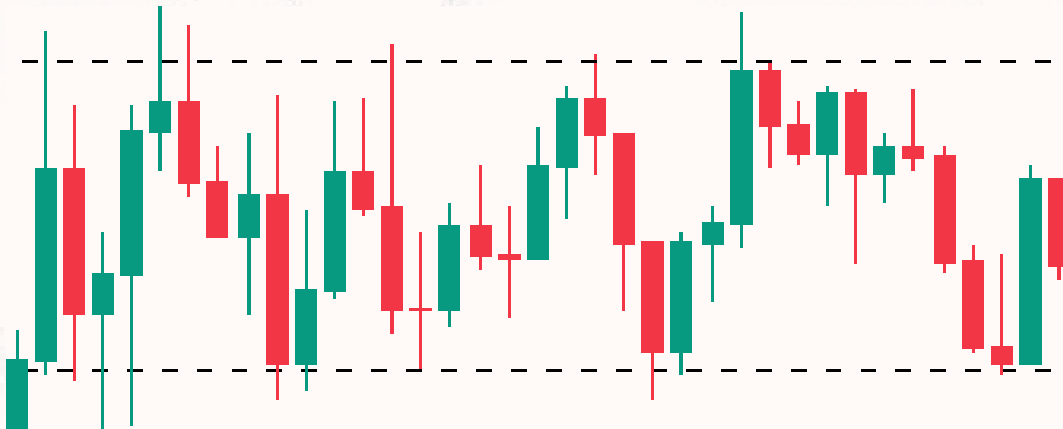
A trend happens when price moves clearly **upward** or **downward**.

Consolidation happens when price moves **sideways** between **support** and **resistance**. During this time, buyers and sellers are *balanced*.

Recognizing these phases helps traders understand current **market conditions**.



TREND SHOWS PRICE
MOVING CLEARLY IN ONE
DIRECTION.



CONSOLIDATION SHOWS PRICE
MOVING WITHIN A RANGE.

TRADING PRECISION

5. BREAK OF STRUCTURE (BOS)

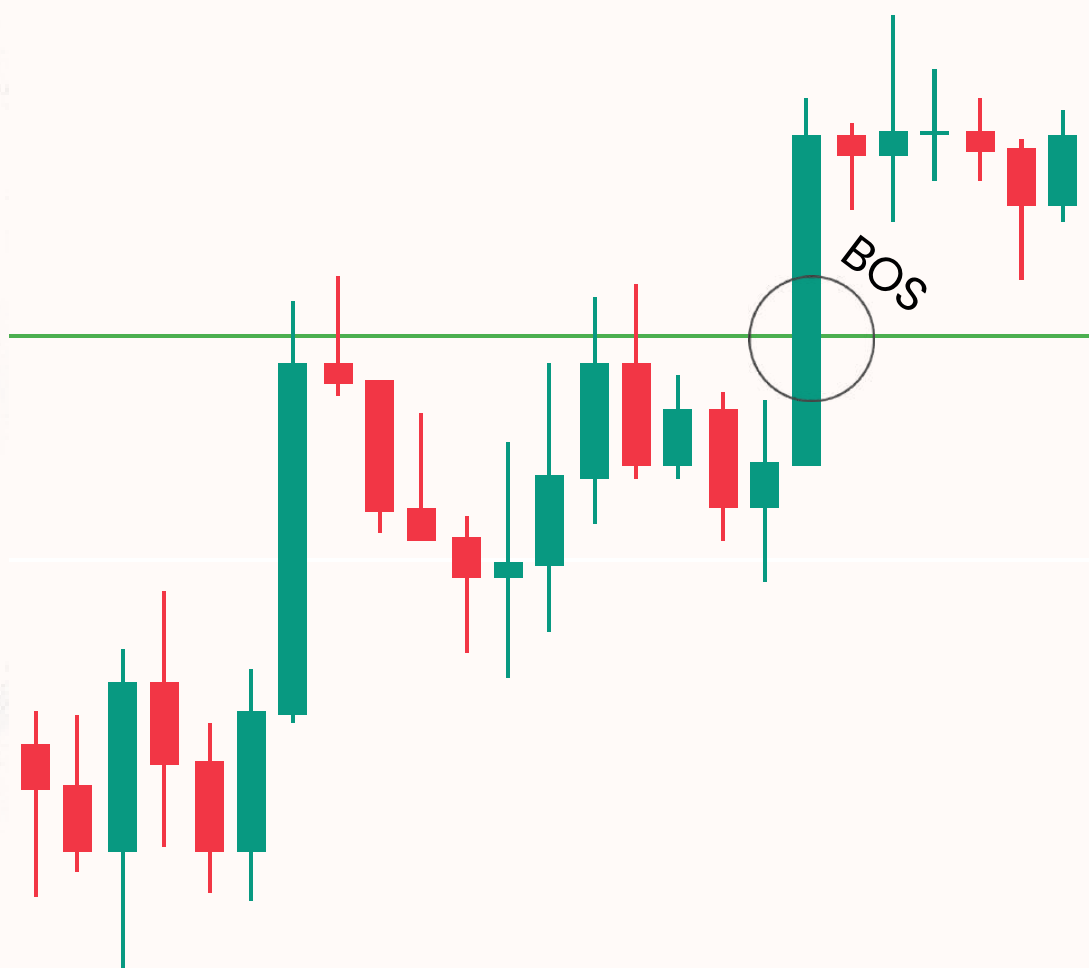
A break of structure happens when **price breaks** an important **previous high** or **low**.

In an *uptrend*, **breaking** the **previous high** confirms that **buyers** remain in control.

In a *downtrend*, **breaking** the **previous low** confirms that **sellers** remain in control.

Many traders use breaks of structure to **confirm** that a **trend** may *continue*.

BREAK OF STRUCTURE (BOS)



TRADING PRECISION

KEY TAKEAWAYS

- ✓ Market structure shows how price moves through highs and lows.
- ✓ Higher highs and higher lows form an uptrend.
- ✓ Lower highs and lower lows form a downtrend.
- ✓ Markets alternate between trends and consolidation.
- ✓ A break of structure can confirm trend continuation.

REFLECTION

Test your understanding of this chapter.

-  What does market structure describe on a price chart?
-  What pattern defines an uptrend?
-  What pattern defines a downtrend?
-  What is consolidation in the market?
-  What does a break of structure indicate?

Reflecting on these questions helps strengthen your **understanding** of market structure.

MODULE 04

SUPPORT AND RESISTANCE

QUICK FACTS

"The market will always respect key levels more than opinions."

Common trading principle



- **Support** and **resistance** are areas where price reacted before.
- Many traders watch the same **price zones**.
- *Support* is where **buying** often appears.
- *Resistance* is where **selling** often appears.
- These levels exist in every **market** and **timeframe**.

CHAPTER OVERVIEW

1

**WHAT SUPPORT AND
RESISTANCE ARE**

2

**PSYCHOLOGICAL
PRICE LEVELS**

3

**WHEN SUPPORT
BECOMES RESISTANCE**

4

LIQUIDITY ZONES

5

**PRACTICAL CHART
EXAMPLES**

1. WHAT SUPPORT AND RESISTANCE ARE

Support and resistance are **price zones** where the market *reacted* in the **past**.

Support is an area where **buyers** often *enter* the market. When price reaches this zone, **buying pressure** may increase and *price* can move **upward**.

Resistance is an area where **sellers** often *appear*. When price reaches this level, **selling pressure** may push *price* **downward**.

These zones form because many traders watch the same levels. When many orders appear at the same area, price often reacts again.

RESISTANCE



SUPPORT

TRADING PRECISION

2. PSYCHOLOGICAL PRICE LEVELS

Psychological levels are **round numbers** that *attract attention*.

Examples include:

- 1.2000 in forex
- 100 in stocks
- 50,000 in crypto

Many traders place orders *near* these numbers because they are **easy to recognize**.

Because many people watch these **levels**, price often **reacts** *near* them. Round numbers can *act* like **support** or **resistance**.

3. WHEN SUPPORT BECOMES RESISTANCE

Support and resistance can **change roles**.

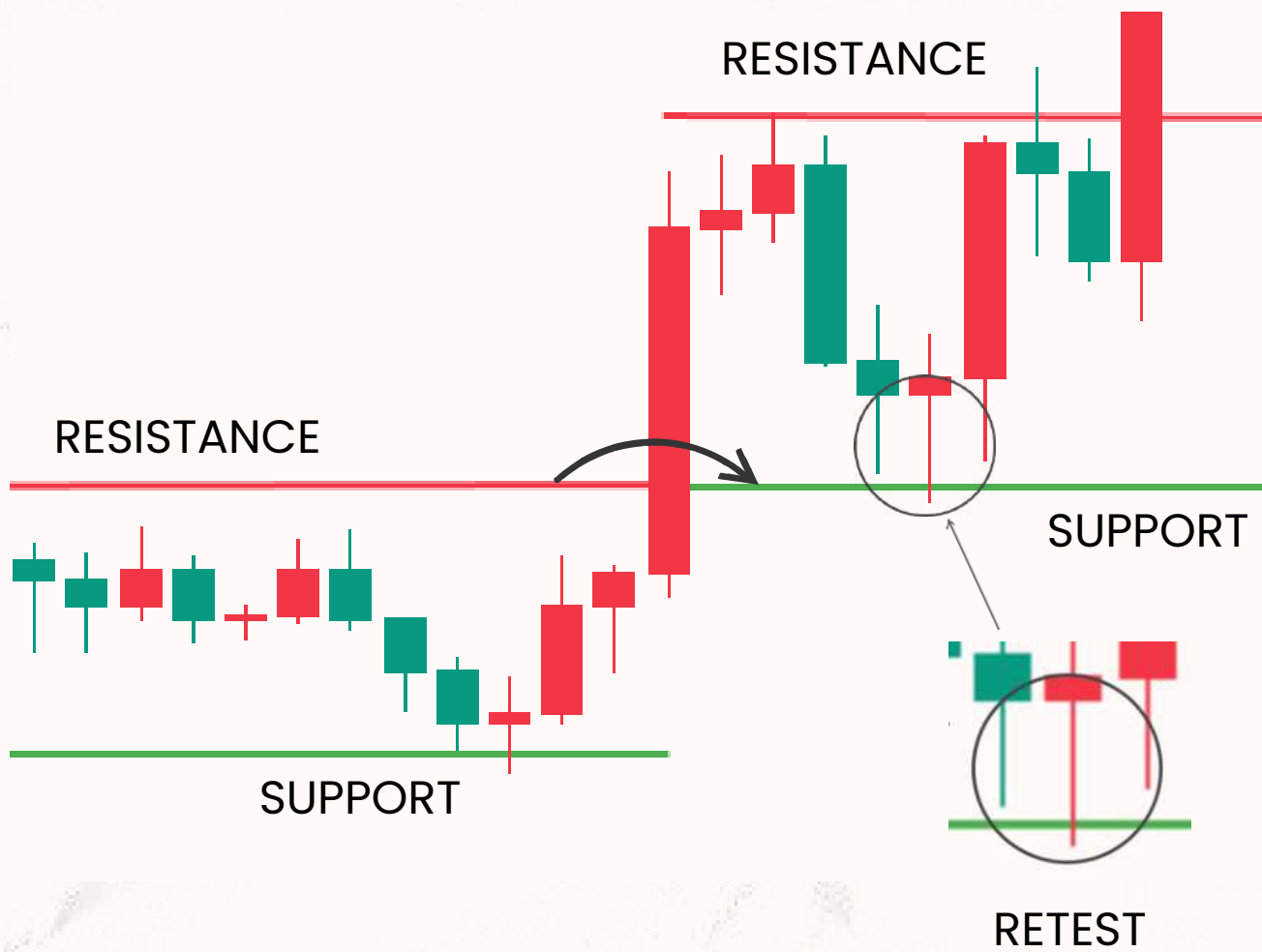
If price *breaks* **below** support, that level may later act as **resistance**.

This happens because traders who bought at *support* may **sell** when price returns to that level. The opposite can also happen.

If price breaks **above** resistance, that level may later act as **support**.

Traders often wait for price to return to the level to see if the **new structure** holds.

This return is called a **retest**.



TRADING PRECISION

4. LIQUIDITY ZONES

Liquidity is where **many** *buy* and *sell* **orders** are placed.

These **areas** often appear near:

- support
- resistance
- previous highs
- previous lows

Many traders place **stop losses** *near* these levels. When price reaches these *zones*, **many orders** can trigger at the **same time**.

This can cause **fast** price **movements**.

Understanding liquidity helps explain why **price** sometimes moves **quickly** after *breaking* a level.

SUPPLY ZONE



DEMAND ZONE

TRADING PRECISION

5. PRACTICAL CHART EXAMPLES

Charts help traders see these concepts in *real* market conditions.

When price **reacts** multiple times at the same level, that *zone* may become **important**.

For example:

- price may **bounce** several times from **support**
- price may repeatedly **reject resistance**

By marking these levels on a chart, traders can see where **future reactions** may happen.

With **practice**, recognizing these zones becomes *easier*.

KEY TAKEAWAYS

- ✓ Support and resistance are important price zones.
- ✓ Support is where buying pressure may appear.
- ✓ Resistance is where selling pressure may appear.
- ✓ Round numbers often act as psychological levels.
- ✓ Support and resistance can change roles after a breakout.
- ✓ Liquidity often exists near important levels.

REFLECTION

Test your understanding of this chapter.

-  What is the difference between support and resistance?
-  Why are these levels considered zones instead of exact prices?
-  Why do round numbers attract attention in trading?
-  What happens when price breaks a support level?
-  Why can price move quickly after breaking an important level?

These questions help reinforce your **understanding** of support and resistance.

MODULE 05

READING CANDLESTICKS

QUICK FACTS

"Price tells a story, and candlesticks are the language of that story."

Trading principle



- **Candlestick charts** are widely used in trading.
- Each **candle** shows price *movement* during a **timeframe**.
- A candle shows four values: **open, high, low, and close**.
- The **shape** of a candle shows the **balance** between *buyers* and *sellers*.
- Traders often study **candle patterns** to understand market sentiment.

CHAPTER OVERVIEW

1

**WHAT CANDLESTICKS
REPRESENT**

2

**STRUCTURE OF A
CANDLE**

3

**BULLISH VS BEARISH
CANDLES**

4

REJECTION AND WICKS

5

**COMMON CANDLESTICK
PATTERNS**

1. WHAT CANDLESTICKS REPRESENT

A candlestick shows **how price moved** during a specific **time period**.

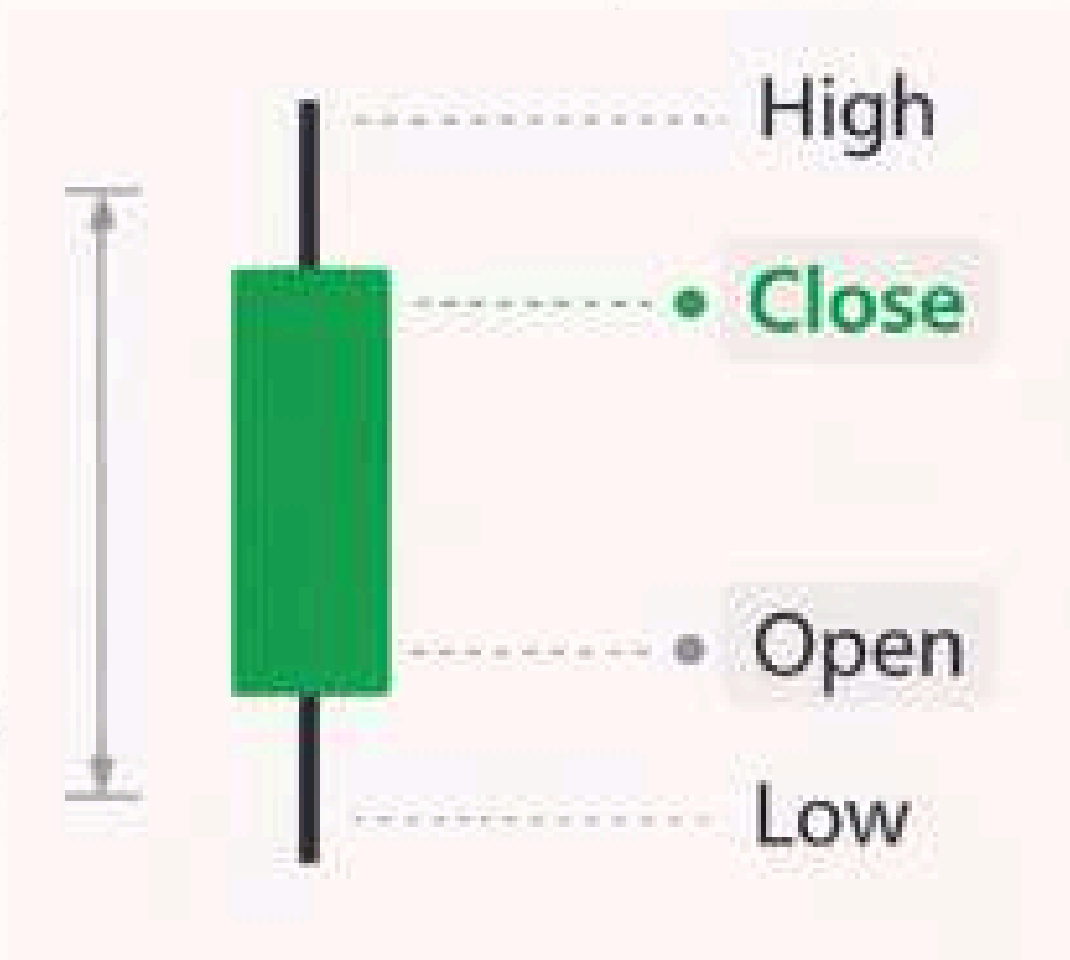
Each candle contains four **important** values:

- **OPEN** – the price at the start of the period
- **HIGH** – the highest price reached
- **LOW** – the lowest price reached
- **CLOSE** – the final price of the period

These values show how *buyers* and *sellers* **interacted** during that time.

A **single candle** tells a *small* part of the story, but multiple candles together reveal **market behavior**.

BASIC CANDLESTICK



2. STRUCTURE OF A CANDLE

Every candlestick has **three main parts**:

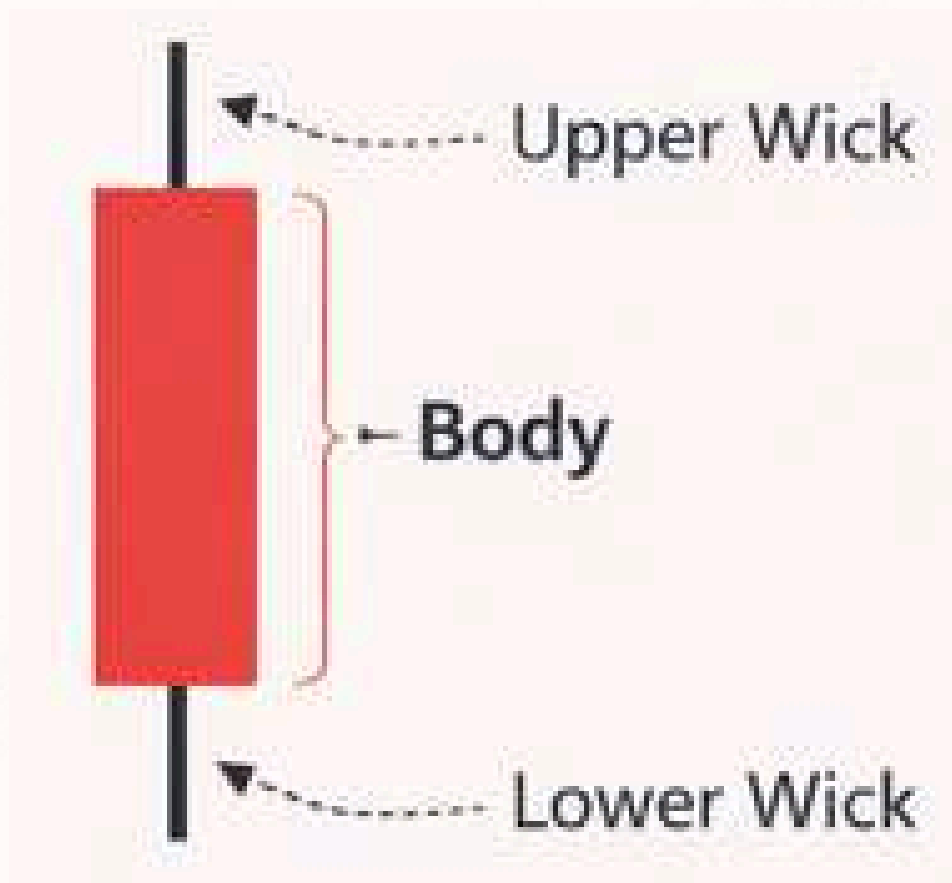
- Body
- Upper wick
- Lower wick

The *body* shows the **distance** between the **open** and **close** price.

The *wicks* show the **highest** and **lowest** prices reached during that period.

The *size* of the **body** and **wicks** helps traders understand how price *behaved*.

CANDLE STRUCTURE



3. BULLISH VS BEARISH CANDLES

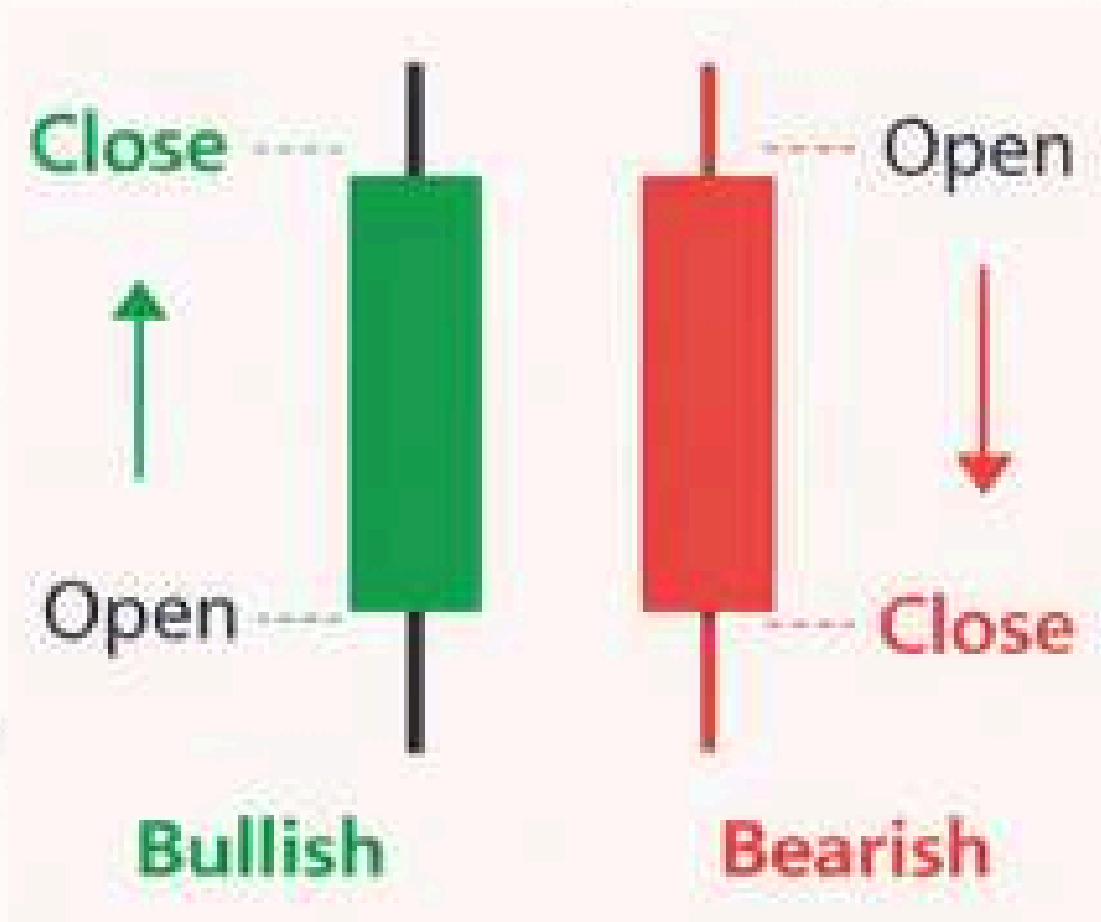
A candle can be **bullish** or **bearish**.

A *bullish* candle **closes higher** than it opens.
This means buyers *pushed* the **price upward**.

A *bearish* candle **closes lower** than it opens.
This means sellers pushed the price downward.

Large candle bodies often show **strong momentum**.

BULLISH VS BEARISH CANDLE



4. REJECTION AND WICKS

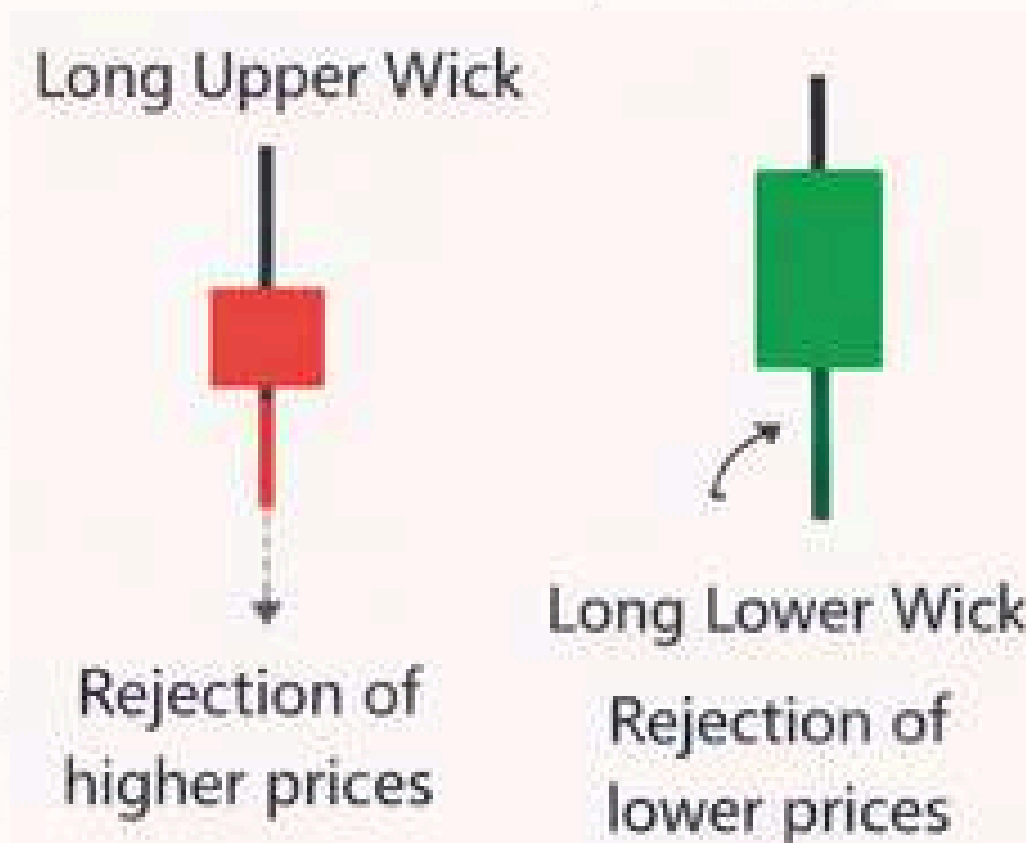
Sometimes price moves *strongly* in **one direction** but then **reverses** before the candle *closes*. This creates **long wicks**.

A long **upper** wick may show rejection of **higher** prices.

A long **lower** wick may show rejection of **lower** prices.

These candles often appear near **important levels** such as **support** or **resistance**.

REJECTION WICKS



5. COMMON CANDLESTICK PATTERNS

Some **candle formations** appear *often* in financial markets.

Three common patterns are:

PIN BAR

- A candle with a long wick and small body.
- It often shows strong price rejection.

ENGULFING PATTERN

- A large candle that covers the previous candle.
- This can signal a shift in momentum.

DOJI

- A candle where open and close are very close.
- It often shows market indecision.

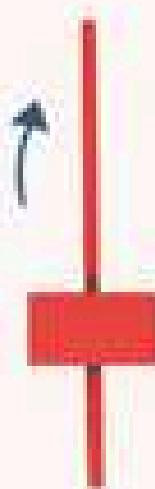
Candlestick patterns are most useful when they appear *near* **important levels**.

PIN BAR



Price rejection

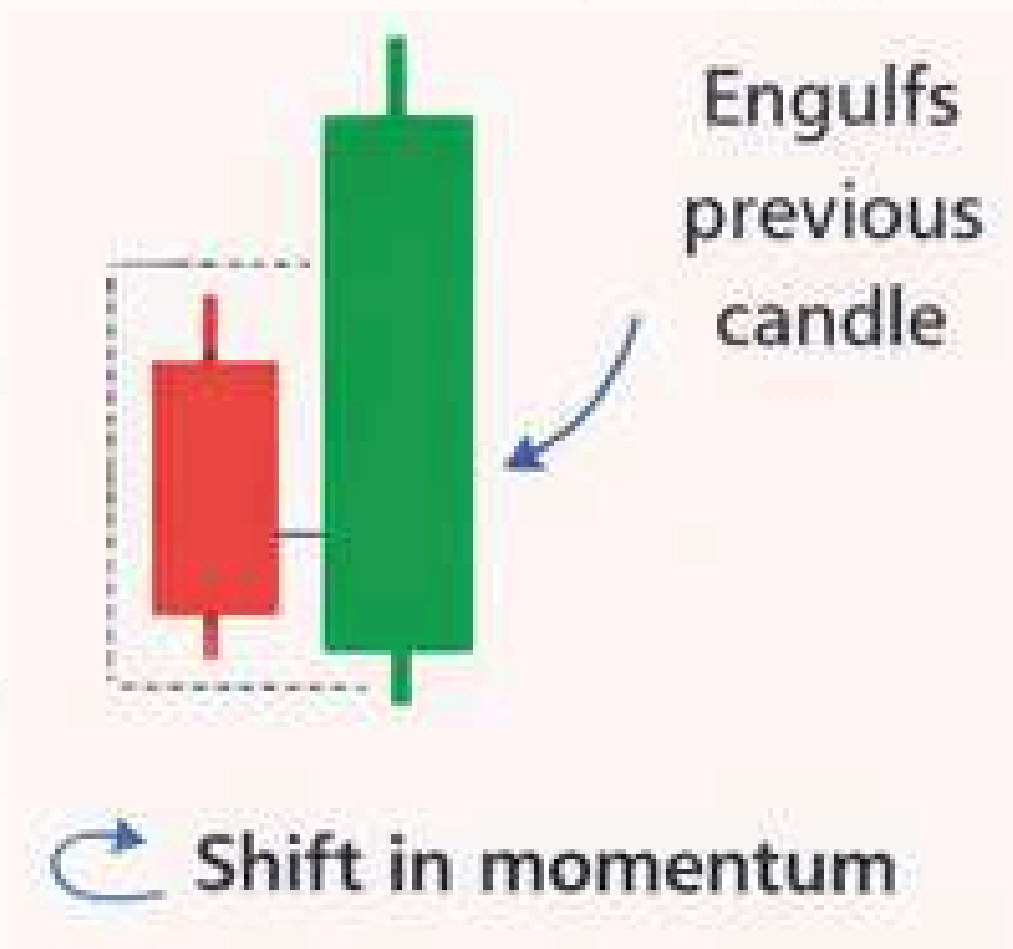
**Bullish
Pin Bar**



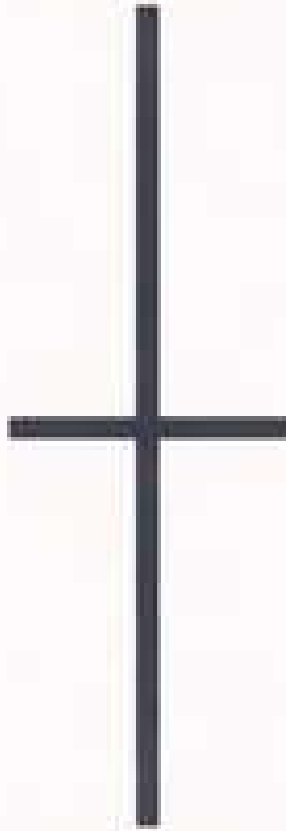
Price rejection

**Bearish
Pin Bar**

ENGULFING PATTERN



DOJI CANDLE



TRADING PRECISION

KEY TAKEAWAYS

- ✓ Candlesticks show price movement during a timeframe.
- ✓ Each candle shows the open, high, low, and close.
- ✓ The candle body shows the difference between open and close.
- ✓ Wicks show the highest and lowest prices reached.
- ✓ Bullish candles show buying pressure.
- ✓ Bearish candles show selling pressure.

REFLECTION

Test your understanding of this chapter.

- 1. ? What four values does a candlestick show?
- 2. ? What are the three main parts of a candlestick?
- 3. ? What is the difference between a bullish and bearish candle?
- 4. ? What does a long wick usually indicate?
- 5. ? Name three common candlestick patterns.

These questions help you review the basics of
reading candlesticks.

MODULE 06

RISK MANAGEMENT

QUICK FACTS

"The most important rule of trading is to protect your capital."

Paul Tudor Jones



- Even profitable strategies can **fail** *without* **risk management.**
- Many traders risk only a **small percentage** of their account **per trade.**
- **Large** losses require much **larger gains** to recover.
- Risk management helps traders *survive* **losing streaks.**
- Long-term *success* depends on **controlling risk.**

CHAPTER OVERVIEW

1

**WHY RISK MANAGEMENT
IS IMPORTANT**

2

RISK PER TRADE

3

RISK-REWARD RATIO

4

POSITION SIZING

5

PROTECTING CAPITAL

1. WHY RISK MANAGEMENT IS IMPORTANT

Every trade carries **risk**. The market can move in the *opposite* direction at any time.

Many *beginners* focus mainly on **profits**. However, *experienced* traders focus on **protecting capital**.

Large losses are *difficult* to recover from. For example, a **50% loss** requires a **100% gain** just to *break even*.

Risk management helps traders **limit** losses and keep their account **stable**.

2. RISK PER TRADE

Risk per trade is the **amount** of money a trader is **willing to lose** on *one* trade.

It is usually defined as a **small percentage** of the trading account.

Keeping risk small helps traders *survive* **losing trades**.

Even if several trades **fail in a row**, the account remains **protected**.

3. RISK-REWARD RATIO

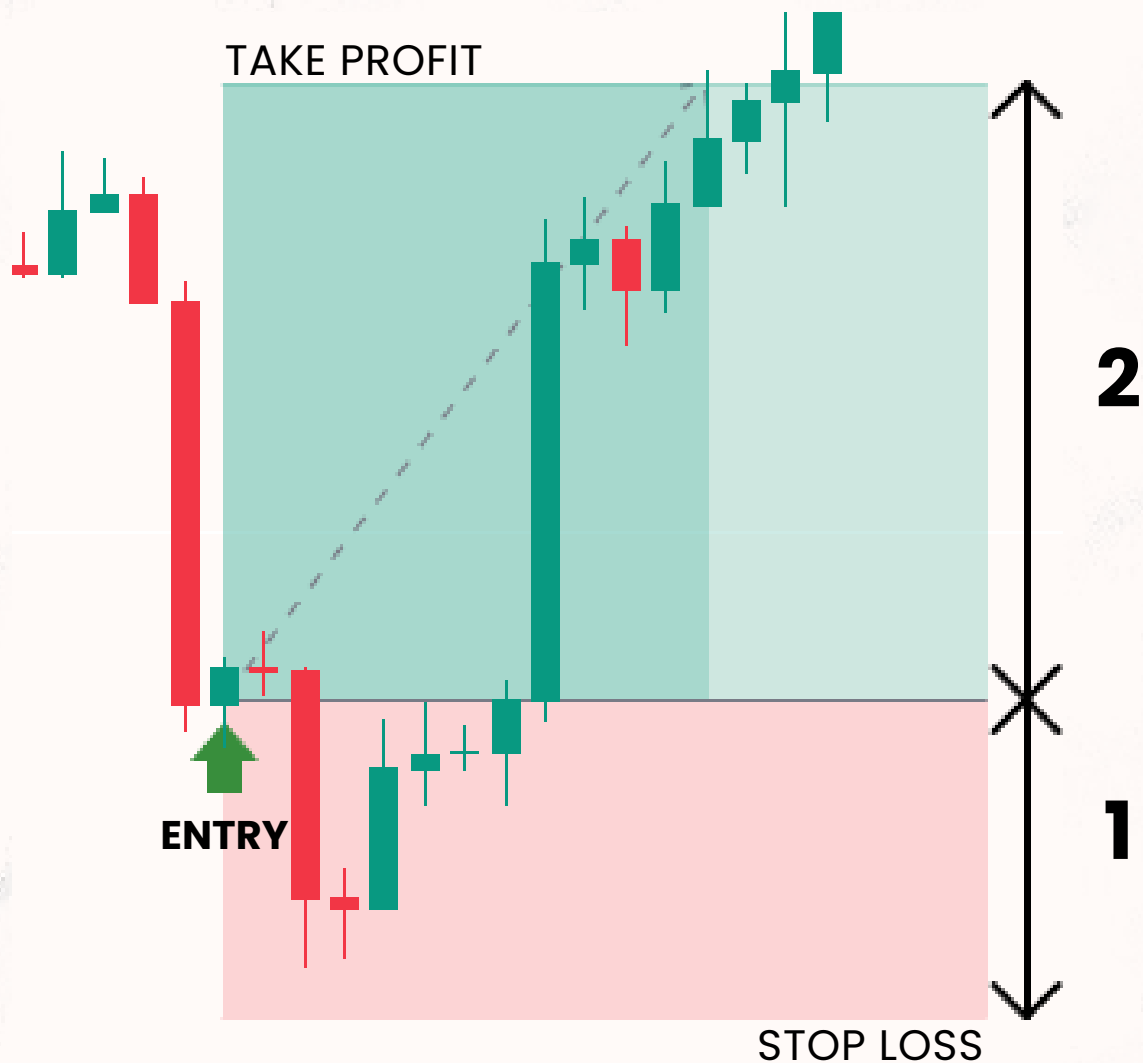
The risk-reward ratio compares **potential loss** with **potential profit**.

For example, **risking 1 unit** to potentially **gain 2 units** creates a **1:2** risk-reward ratio.

This concept is **important** because not every trade will be successful.

If the potential reward is **larger** than the risk, traders can still be **profitable** over time.

RISK-REWARD EXAMPLE



1:2 RISK-REWARD RATIO

TRADING PRECISION

4. POSITION SIZING

Position sizing determines **how large** a trade should be.

The trade size depends on two things:

- the **amount of risk** allowed per trade
- the *distance* to the **stop loss**

By adjusting position size, traders can keep risk **consistent** across different trades.

5. PROTECTING CAPITAL

Protecting capital is the **foundation** of long-term trading.

Losses are a *normal* part of trading, but they must be **controlled**.

By using stop losses, limiting risk per trade, and managing position size, traders **protect** their accounts.

This allows them to *stay* in the market and continue **improving** over time.

KEY TAKEAWAYS

- ✓ Risk management protects trading capital.
- ✓ Every trade carries uncertainty.
- ✓ Risk per trade limits potential losses.
- ✓ The risk–reward ratio compares potential loss and profit.
- ✓ Position sizing helps keep risk consistent.

REFLECTION

Test your understanding of this chapter.

- ❓ Why is risk management important in trading?
- ❓ What does risk per trade mean?
- ❓ What does the risk–reward ratio compare?
- ❓ How does position sizing help control risk?
- ❓ Why is protecting capital important for long-term trading?

These questions help strengthen your **understanding** of risk management.

MODULE 07

TRADING STRATEGIES

QUICK FACTS

"A strategy is only as good as the discipline used to follow it."

Trading principle



- A trading strategy is a **set of rules** used to make trading decisions.
- Strategies define **entry points**, **stop losses**, and **profit targets**.
- No strategy wins *every* trade.
- **Losses** are a *normal* part of trading.
- **Consistency** is often more important than the *strategy* itself.

CHAPTER OVERVIEW

1 | **WHAT MAKES A TRADING STRATEGY**

2 | **STRATEGY 1 – TREND CONTINUATION**

3 | **STRATEGY 2 – BREAKOUT AND RETEST**

4 | **STRATEGY 3 – REVERSAL STRATEGY**

5 | **CHOOSING A STRATEGY THAT FITS YOUR STYLE**

1. WHAT MAKES A TRADING STRATEGY

A trading strategy is a **set of rules** that guides trading decisions.

These rules *define* when to **enter** a trade, where to place a **stop loss**, and where to **take profit**.
Clear rules help traders stay *consistent*.

Without rules, traders may **interpret** the same chart *differently* each time.

A strategy helps traders approach the market in a **structured** way.

2. STRATEGY 1 — TREND CONTINUATION

Trend continuation strategies **follow** the direction of the **current trend**.

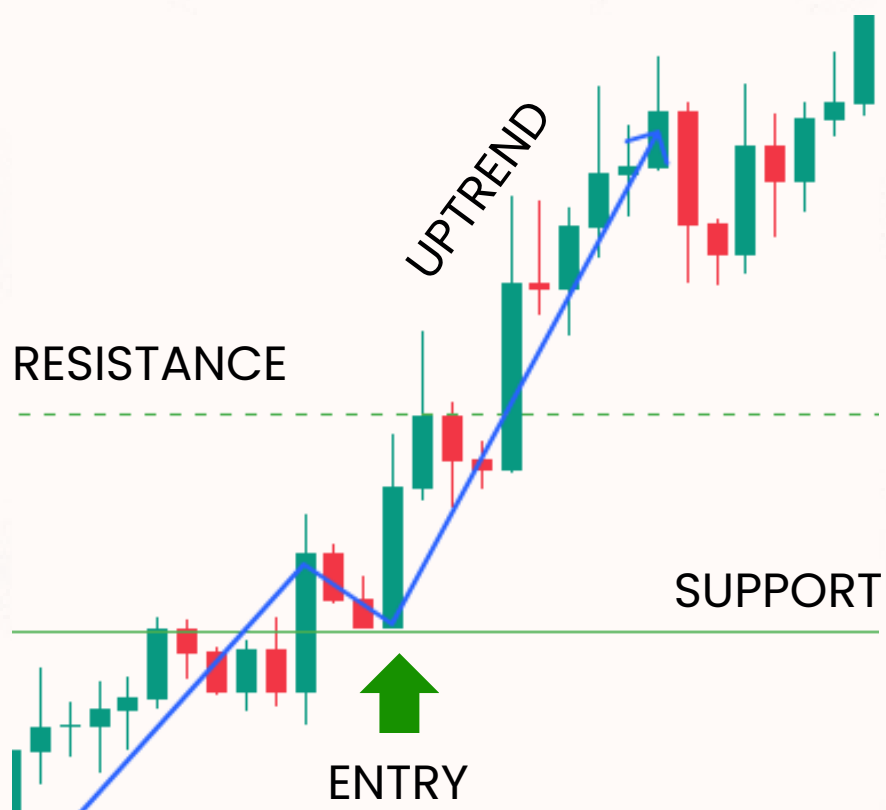
In an **uptrend**, price forms higher highs and higher lows.

In a **downtrend**, price forms lower highs and lower lows.

Traders often *enter* trades during **pullbacks** within the **trend**.

Trading with the trend allows traders to *follow* the **dominant** market direction.

TREND CONTINUATION SETUP



TRADING PRECISION

3. STRATEGY 2 — BREAKOUT AND RETEST

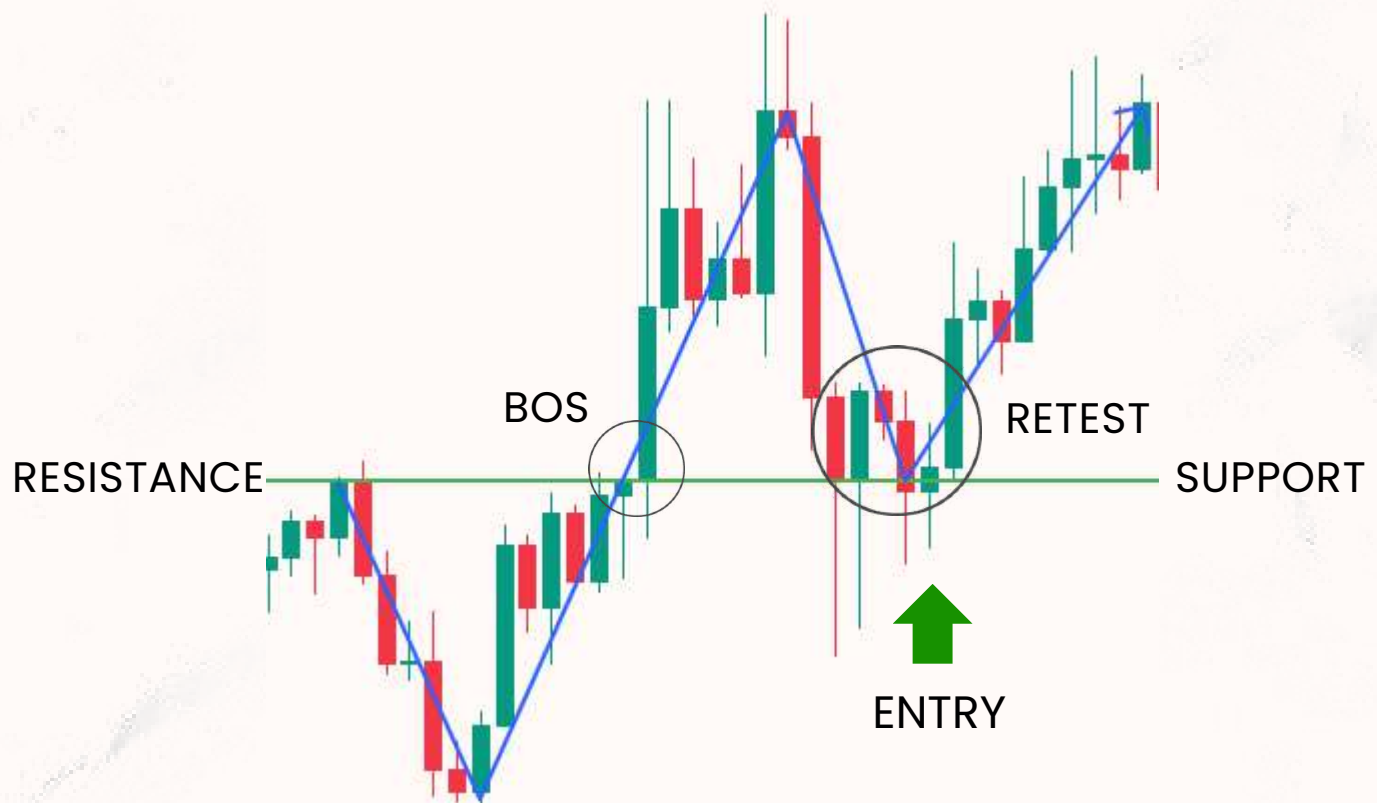
Breakout strategies focus on price moving **beyond important levels**.

This often happens when price **breaks support** or **resistance**.

Many traders wait for a **retest** of the broken level.

A retest **confirms** that the level has changed its role. Traders often **enter** trades during this retest.

BREAKOUT & RETEST



TRADING PRECISION

4. STRATEGY 3 — REVERSAL STRATEGY

Reversal strategies try to **identify** when a **trend** may **change direction**.

Reversals often happen near *strong* **support** or **resistance** levels.

Traders may look for *signals* such as **rejection candles** or a **break** of market structure.

Reversal trades can be more **difficult** because they go **against** the previous trend.

For this reason, traders often *wait* for **confirmation**.

REVERSAL SETUP



TRADING PRECISION

5. CHOOSING A STRATEGY THAT FITS YOUR STYLE

There is **no single strategy** that works for *every* trader.

Different *strategies* suit **different** *personalities* and timeframes.

Some traders prefer **fast markets** and **short-term** trades.

Others prefer **slower markets** and **longer timeframes**.

The **goal** is to find a strategy that can be *followed consistently*.

KEY TAKEAWAYS

- ✓ A trading strategy is a set of rules used to guide trading decisions.
- ✓ Strategies define entry points, stop loss levels, and profit targets.
- ✓ Trend continuation strategies follow the current market direction.
- ✓ Breakout strategies focus on price moving beyond key levels.
- ✓ Reversal strategies attempt to identify turning points in the market.

REFLECTION

Test your understanding of this chapter.

- ❓ What is the purpose of a trading strategy?
- ❓ What three elements should every strategy define?
- ❓ Why do many traders prefer trading with the trend?
- ❓ What is the purpose of a retest after a breakout?
- ❓ Why is it important to choose a strategy that fits your personality?

These questions help reinforce your **understanding** of trading strategies.

MODULE 08

TRADING PSYCHOLOGY

QUICK FACTS

"The market is a device for transferring money from the impatient to the patient."

Warren Buffett



- **Emotions** are a common reason traders lose money.
- **Fear** and **greed** can cause traders to *ignore* their strategies.
- **Overtrading** often happens after *losses or frustration*.
- Successful traders focus on **discipline** and **consistency**.
- A **structured routine** helps improve decision-making.

CHAPTER OVERVIEW

1

EMOTIONS IN TRADING

2

FEAR AND GREED

3

OVERTRADING

4

BUILDING DISCIPLINE

5

**DEVELOPING A TRADING
ROUTINE**

TRADING PRECISION

1. EMOTIONS IN TRADING

Emotions are a **natural** part of decision-making. In trading, *strong emotions* can **affect judgment**.

When price moves *quickly*, traders may feel **excitement** or **fear**.

These reactions can lead to **impulsive** decisions.

Recognizing emotional reactions helps traders stay **focused** on their **rules**.

2. FEAR AND GREED

Fear and greed are **two common emotions** in trading.

Fear may cause traders to *close* trades **too early**.
Greed may cause traders to *take* **unnecessary risks**.

Both emotions can lead traders to *ignore* their **strategy**.

Following **clear rules** helps *manage* these emotions.

3. OVERTRADING

Overtrading happens when traders open **too many** trades.

This often happens after **losses** or **frustration**.

Traders may **try to recover** losses *quickly*.

Overtrading *increases* **risk** and *reduces* **focus**.

Successful traders **wait patiently** for *valid* trade setups.

4. BUILDING DISCIPLINE

Discipline means **following** trading rules **consistently**.

Even good strategies fail without **discipline**.

Traders must **respect** stop losses and follow their plan.

Consistent behavior helps traders evaluate their **results** more clearly.

Over time, discipline **improves** trading performance.

5. DEVELOPING A TRADING ROUTINE

A trading routine creates **structure** and **consistency**.

Many traders begin by **analyzing** market conditions.

They **identify** important levels and **possible** trade **setups**.

After trading, they **review** their trades and **record observations**.

A routine helps traders stay **organized** and **focused**.

KEY TAKEAWAYS

- ✓ Trading psychology plays an important role in trading success.
- ✓ Emotions such as fear and greed can influence decisions.
- ✓ Overtrading often results from emotional reactions.
- ✓ Discipline helps traders follow their strategies.
- ✓ A structured routine improves consistency.

REFLECTION

Test your understanding of this chapter.

- ❓ Why is trading psychology important for trading success?
- ❓ How can fear and greed influence trading decisions?
- ❓ What is overtrading?
- ❓ Why is discipline important in trading?
- ❓ How can a trading routine help traders stay consistent?

Thinking about these questions can help you better **understand** Trading Psychology.

MODULE 09

BUILDING YOUR TRADING PLAN

QUICK FACTS

"Plan the trade and trade the plan."

Trading principle



- A **trading plan** helps traders make *consistent* decisions.
- Many trading **mistakes** happen *without* a **clear plan**.
- A plan includes **strategy rules** and **risk management**.
- Trading plans help *reduce* **emotional decisions**.
- Professional traders *follow* **structured processes**.

CHAPTER OVERVIEW

1

**CHOOSING YOUR
MARKET AND TIMEFRAME**

2

**DEFINING STRATEGY
RULES**

3

**DEFINING RISK
MANAGEMENT RULES**

4

**REVIEWING AND
IMPROVING PERFORMANCE**

1. CHOOSING YOUR MARKET & TIMEFRAME

The first step in building a trading plan is **choosing a market**.

Financial markets include **forex, stocks, and cryptocurrencies**.

Each market behaves *differently*.

Traders should focus on a *small* number of assets. **Timeframes** also affect trading style.

Short timeframes involve **faster decisions**, while **higher** timeframes allow more **analysis**.

2. DEFINING STRATEGY RULES

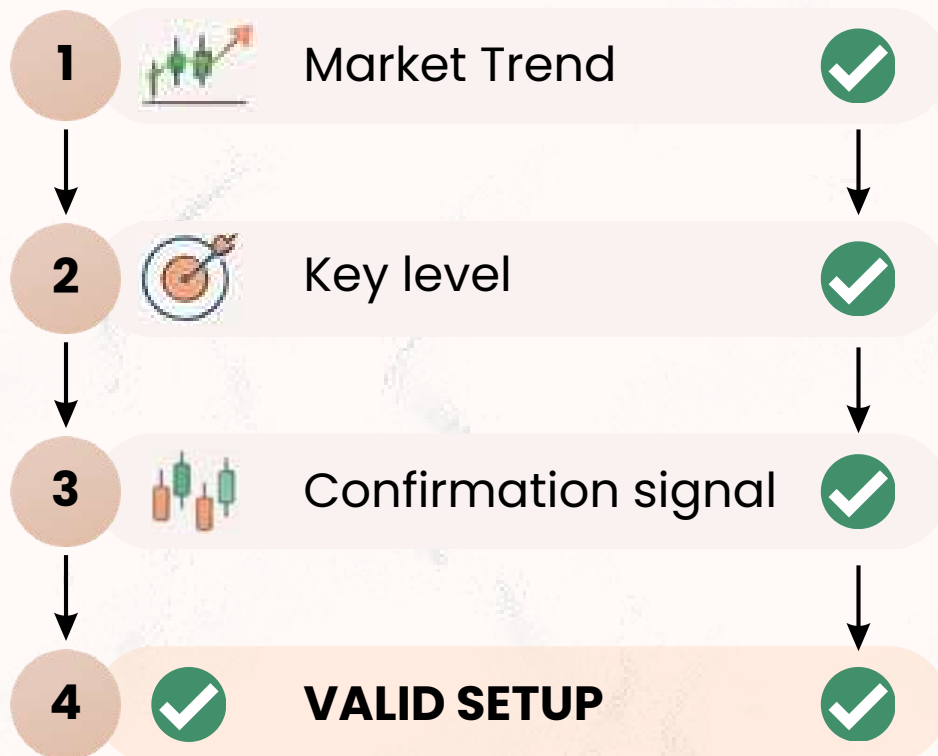
A trading plan must include clear **strategy rules**. These rules **define** when a trade can be taken.

Many strategies include **conditions** such as:

- Market trend
- Key support or resistance level
- Confirmation signal

Clear rules help traders make *consistent* decisions.

STRATEGY CHECKLIST FLOW



3. DEFINING RISK MANAGEMENT RULES

Risk management is an important part of every trading plan.

Traders must decide how much **capital** they are willing to risk.

Common **rules** may include:

- Maximum risk per trade
- Stop-loss placement
- Daily loss limits

These rules **protect** trading capital and **reduce** *emotional* decisions.

4. REVIEWING AND IMPROVING PERFORMANCE

A trading plan should include regular **performance review**.

Traders often review their trades after each **session** or **week**.

Many traders keep a **trading journal**.

Recording trades helps identify patterns and mistakes.

Over time, this process helps *improve* **discipline** and **strategy** performance.

PERFORMANCE REVIEW CYCLE



TRADING PRECISION

KEY TAKEAWAYS

- ✓ A trading plan creates structure and consistency.
- ✓ Choosing a market and timeframe helps focus analysis.
- ✓ Strategy rules define when trades should be taken.
- ✓ Risk management rules protect trading capital.
- ✓ Reviewing trades helps improve performance.

REFLECTION

Test your understanding of this chapter.

- ❓ What is the purpose of a trading plan?
- ❓ Why should traders focus on a specific market and timeframe?
- ❓ What do strategy rules define?
- ❓ Why are risk management rules important?
- ❓ How can reviewing past trades improve performance?

Thinking about these questions can help you build a better **trading plan**.

MODULE 09

COMMON TRADING MISTAKES

QUICK FACTS

"Trading is simple, but it is not easy."

Trading principle



- Many traders struggle because of **poor discipline**.
- Emotional decisions often lead to **inconsistent** results.
- Successful traders focus on **process** rather than **quick profits**.
- **Continuous learning** *improves* trading skills.
- Patience and consistency are **essential** in trading.

CHAPTER OVERVIEW

1

**TRADING WITHOUT A
PLAN**

2

**IGNORING RISK
MANAGEMENT**

3

EMOTIONAL TRADING

4

**CONSTANTLY CHANGING
STRATEGIES**

1. TRADING WITHOUT A PLAN

Many beginners trade without a **clear plan**.

They enter trades based on **opinions** or **emotions**.
Without clear rules, **results** become *inconsistent*.

A trading plan helps create **structure** and **consistency**.

2. IGNORING RISK MANAGEMENT

Risk management **protects** trading capital.

When traders **risk too much**, losses can grow quickly.

Many *beginners* focus only on **profits**.
Successful traders focus on **controlling losses**.

3. EMOTIONAL TRADING

Emotions such as fear and greed **influence decisions.**

Fear may cause traders to *exit* trades **too early.**

Greed may cause traders to take **unnecessary risks.**

Following **clear rules** helps reduce emotional decisions.

4. CONSTANTLY CHANGING STRATEGIES

Some traders **change strategies** too often.

They **abandon** strategies after a *few losses*.
This prevents them from evaluating performance.

Consistency helps traders improve their strategies.

KEY TAKEAWAYS

- ✓ Discipline and patience are essential in trading.
- ✓ A clear trading plan improves consistency.
- ✓ Risk management protects trading capital.
- ✓ Emotional control supports better decisions.
- ✓ Continuous learning helps traders improve over time.

DISCLAIMER

This book is for educational purposes only. It is not financial advice.

The content shares general trading ideas and methods. It does not tell you what to buy, sell, or trade. Nothing here is a recommendation for any specific market, asset, or decision.

Trading involves risk. You can lose some or all of your money. Only trade with money you can afford to lose. Past results do not guarantee future results, and no method can remove the risk of loss.

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TP

Trading is a skill that develops over time.
Focus on learning, discipline, and consistency.

With patience and continuous improvement,
traders can build the experience needed to
navigate financial markets with confidence.

This book taught you what to look for.
Level II: Execution teaches you how to act on it
with confidence and consistency.

STAY DISCIPLINED.
MANAGE RISK.
KEEP LEARNING.

